Gross Profit

Gross profit in fiscal year 2018 increased to $382.3 million, or 17.7 percent of net sales from $300.8 million, or 16.7 percent of net sales for fiscal year 2017. Excluding the impact of the surcharge revenue, our gross margin in fiscal year 2018 was 21.3 percent compared to 19.3 percent in fiscal year 2017. The results reflect the impact of stronger demand and improved product mix coupled with operating cost improvements compared to fiscal year 2017.

Our surcharge mechanism is structured to recover increases in raw material costs, although in certain cases with a lag effect as discussed above. While the surcharge generally protects the absolute gross profit dollars, it does have a dilutive effect on gross margin as a percent of sales. The following represents a summary of the dilutive impact of the surcharge on gross margin. We present and discuss these financial measures because management believes removing the impact of surcharge provides a more consistent and meaningful basis for comparing results of operations from period to period. See the section "Non-GAAP Financial Measures" below for further discussion of these financial measures.

	Fiscal Year	
($ in millions)	**2018**	**2017**
Net sales	$ 2,157.7	$ 1,797.6
Less: surcharge revenue	365.4	239.2
Net sales excluding surcharge revenue	$ 1,792.3	$ 1,558.4
Gross profit	$ 382.3	$ 300.8
Gross margin	17.7%	16.7%
Gross margin excluding surcharge revenue	21.3%	19.3%

Selling, General and Administrative Expenses

Selling, general and administrative expenses in fiscal year 2018 were $193.0 million, or 8.9 percent of net sales (10.8 percent of net sales excluding surcharge revenue), compared to $176.1 million, or 9.8 percent of net sales (11.3 percent of net sales excluding surcharge revenue), in fiscal year 2017. Selling, general and administrative expenses increased in fiscal year 2018 primarily due to higher variable compensation expense partially offset by lower pension expense compared to fiscal year 2017.

Operating Income

Our operating income in fiscal year 2018 increased to $189.3 million, or 8.8 percent of net sales as compared with $121.5 million, or 6.8 percent in net sales in fiscal year 2017. Excluding surcharge revenue and special items, adjusted operating margin was 10.6 percent for the fiscal year 2018 and 8.0 percent for fiscal year 2017. The increase in the operating margin reflects the stronger demand and improved product mix coupled with operating cost improvements partially offset by higher variable compensation expense compared to fiscal year 2017.

Operating income has been impacted by special items. The following presents our operating income and operating margin, in each case excluding the impact of surcharge on net sales and the loss on divestiture of business. We present and discuss these financial measures because management believes removing the impact of these items provides a more consistent and meaningful basis for comparing results of operations from period to period. See the section "Non-GAAP Financial Measures" below for further discussion of these financial measures.